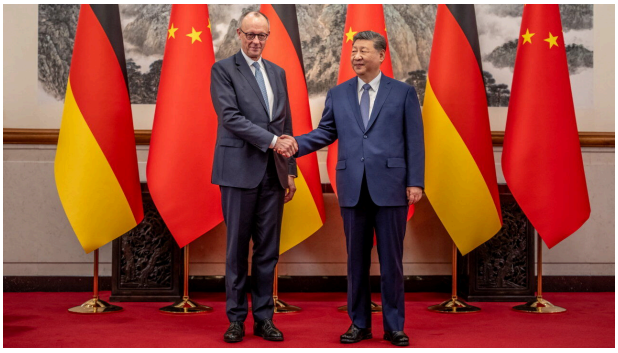
The world in brief

Catch up quickly on the global stories that matter



Photograph: Getty Images

Friedrich Merz, **Germany's** chancellor, referenced "challenges" in his country's relationship with **China** after meeting its leader, Xi Jinping, in Beijing. Mr Merz complained about cheap Chinese imports undercutting German industry and urged China not to restrict exports of critical minerals to Europe. Meanwhile, China agreed to buy up to 120 aircraft from Airbus, a European planemaker.

Donald Trump delivered the longest **state-of-the-union address** on record. With four Supreme Court justices looking on, the president called the court's decision to strike down many of his tariffs "unfortunate", claiming the levies had boosted growth without increasing inflation. He promised to limit electricity-price rises and trumpeted his "drill baby, drill" energy policies. He again warned Iran not to pursue a nuclear weapon. Predictably, he railed against illegal immigrants and pro-transgender policies.

European stocks rose after strong results from HSBC, giving a boost to finance firms. Europe's largest bank (by assets) reported a 6% jump in revenue in its Hong Kong business and said it was on track to make $1.5bn in cost savings six months earlier than planned.

Britain's FTSE 100 index rose by 1%; Europe's Stoxx 600 was up by more than 0.5%.

South Korea's fertility rate, the world's lowest, rose for a second consecutive year in 2025, to 0.8, up from 0.75 in 2024. There were 254,500 births over the 12 months, 6.8% more than in the previous year. That remains far below the "replacement rate" of 2.1. Authorities have expanded child-care services and housing support to encourage more babies.

Diageo, a drinksmaker, reported a 4% fall in sales in the second half of 2025. The brewer of Guinness and other popular alcohol brands blamed lower consumer spending in America. The firm slashed its dividend by more than half. Diageo's share price fell by more than 5% in morning trading.

Meta agreed to buy up to $60bn-worth of artificial-intelligence chips from **AMD**, an American chipmaker, over five years. The deal also allows the social-media company to buy up to 10% of AMD's shares. Last year AMD struck an agreement with OpenAI, the maker of ChatGPT, that also offered shares in return for buying chips.

Aston Martin announced job cuts of up to 20% as part of its attempts to make annual savings of £40m ($54m). The luxury carmaker reported an operating loss of £259m for 2025 which it blamed on Mr Trump's tariffs and softening demand in China. Last week the company sold branding rights to its Formula One team for £50m.

Figure of the day: 0.83%, the proportion of Ukrainian territory Russia captured in 2025. Read the full story.

Photograph: Shutterstock

Nvidia’s rivals are still playing catch up

Nvidia, the world’s most valuable company, is riding high. Its dominance of the market for processors that run AI models has lifted its valuation above $4.6trn. Sales have grown nearly eightfold since 2023. A new chip, called Rubin, promises gains in speed and efficiency. Visible Alpha, a data firm, expects Nvidia to report fourth-quarter revenues of $66bn, up 15%, when it publishes its full-year results on Wednesday.

Yet Nvidia’s dominance no longer looks assured. The biggest threat comes not from established chipmakers but from its own customers. Google has developed rival AI processors. Others, including OpenAI, are designing chips in-house to reduce their dependence on a single supplier. This week AMD, a rival chip designer, struck a deal with Meta to sell billions of dollars’ worth of chips.

Still, Nvidia remains far ahead. The Trump administration’s decision last month to relax export curbs on certain chips to China—a vast market—is a welcome boost to sales. Nvidia’s total dominance may be dissipating but its strengths remain unrivalled.

A league of its own

Nvidia, market capitalisation, $trn

Source: LSEG Workspace

Photograph: Reuters

A right-wing rendezvous: Modi meets Netanyahu

On Wednesday Narendra Modi begins his two-day trip to Israel. His previous visit, in 2017, was the first ever made by an Indian prime minister. Back then, the Hindu-nationalist strongman enjoyed a barefooted beach walk with his Israeli counterpart, Binyamin Netanyahu. India will tread more carefully this time. It wants to seek deeper ties with Israel without inflaming the Arab world or eroding its moral standing in the global south.

The leaders will mostly discuss economics and defence. Bilateral trade halved in 2024-25 from the previous fiscal year amid instability in the Middle East. Both countries want to seal a free-trade deal by the end of the year. They will also talk about the joint development of anti-ballistic missiles and laser weapons. India is already a top buyer of Israeli arms. Mr Netanyahu is pushing for a “hexagon of alliances”, a regional security bloc to counter radical Islam. India, proudly non-aligned, will balk at entanglements of any geometrical shape.

Photograph: AP

Marco Rubio jets into St Kitts and Nevis

On Wednesday Marco Rubio, America's secretary of state, arrived in the two-island nation of St Kitts and Nevis for a meeting with CARICOM, a 15-strong club of Caribbean countries. His agenda will probably focus on the Trump administration's priorities in the region: fighting drug-traffickers, managing Venezuela and squeezing Cuba.

Caribbean leaders need little reminder of Uncle Sam's muscular approach to the region. Days before the summit, an American air strike on a suspected drug boat killed three people, bringing the death toll to at least 150 people since the start of the campaign in September. Caribbean states quietly supported the administration's approach to Venezuela, long seen as a regional irritant. There will be greater unease over Cuba, which maintains economic ties with many CARICOM countries and has trained thousands of doctors who serve throughout the Caribbean. Mr Rubio may find that bitter pills for Cuba are more easily prescribed than swallowed.

Photograph: Getty Images

South Africa unearths a glimmer of gold

Over the past decade, South Africa's annual budgets have consistently delivered bad news. Years of rising debt and weak economic growth have plagued the country. But when Enoch Godongwana, the finance minister, speaks on Wednesday, he can make a reasonable case that South Africa is turning a corner.

High commodity prices, especially for gold, will boost tax receipts. Mr Godongwana is expected to welcome a fiscal surplus and forecast an imminent decline in public debt as a share of GDP. Liberal reforms to state-run enterprises, such as Eskom, the electricity utility, are meanwhile helping to boost growth and slash the country's eye-wateringly high unemployment rate.

A pragmatic centrist coalition, anchored by the African National Congress and the Democratic Alliance, helps too. But economists caution that more reforms are required before South Africa's GDP growth approaches the average pace in the 15 years after the end of white rule in 1994.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Wednesday: The third Monday of January is a federal holiday named after which civil-rights activist?

Tuesday: Which American statesman helped create the League of Nations, although he failed to persuade America to join?

Every grain of experience is food for the greedy growing soul of the artist.

Anthony Burgess